IN THE NATIONAL COMPANY LAW TRIBUNAL, NEW DELHI
COURT-V
(Special Bench)

Item No.-205
CP(CAA) No.-24/230/232/ND/2022(2nd Motion)

IN THE MATTER OF:
Apricity Infratech Pvt. Ltd. **....Applicant**

SECTION
U/s 230-232 **Order delivered on 28.07.2023**

CORAM:
SHRI P.S.N PRASAD,
HON'BLE MEMBER (JUDICIAL)

DR. BINOD KUMAR SINHA,
HON'BLE MEMBER (TECHNICAL)

PRESENT:
For the Applicant :
For the Respondent :

ORDER

Order pronounced in open court vide separate sheets. CP(CAA) No.-24/230/232/ND/2022 (2nd Motion) is **allowed.**

Sd/-
(DR. BINOD KUMAR SINHA)
MEMBER (T)

Sd/-
(P.S.N PRASAD)
MEMBER (J)

IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI
BENCH – V

COMPANY PETITION (CAA) NO. – 24/(ND)/2022
WITH
COMPANY APPLICATION NO. CA (CAA) 77/(ND)/2020

Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF SCHEME OF AMALGAMATION OF:

AARADHYA BUILDERS PRIVATE LIMITED

...PETITIONER NO.1/TRANSFEROR COMPANY NO. 1

AND

LIFEWOOD VINTRADE PRIVATE LIMITED

...PETITIONER NO.2/ TRANSFEROR COMPANY NO. 2

AND

RV BUILDWELL PRIVATE LIMITED

...PETITIONER NO.3/ TRANSFEROR COMPANY NO. 3

AND

SHUBHI PROPERTY CONSULTANCY PRIVATE LIMITED

...PETITIONER NO.4/ TRANSFEROR COMPANY NO. 4

AND

TOPFLOW COMMOTRADE PRIVATE LIMITED

...PETITIONER NO.5/ TRANSFEROR COMPANY NO. 5

WITH

APRICITY INFRATECH PRIVATE LIMITED

...PETITIONER NO.6/ TRANSFEREE COMPANY

Order Delivered On: 28.07.2023

CORAM:

SHRI P.S.N. PRASAD, HON'BLE MEMBER (JUDICIAL)
DR. BINOD KUMAR SINHA, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant	: Adv. Sachin Arora
For the Respondent	:
For the IT Department	: Mr. Sunil Aggarwal, Sr St Counsel, Mr. Shivansh B Pandya, Jr. St Counsel with Mr. Utkarsh Tiwari, Advs.
For the RD	: Ms. Shankari Mishra
For the OL	: Ms. Hemlata Rawat, Mr. Aayushmaan Vatsyayana

ORDER

PER: DR. BINOD KUMAR SINHA, HON'BLE MEMBER (TECHNICAL)

1. The present Joint Petition is filed by the Petitioner Companies herein AARADHYA BUILDERS PRIVATE LIMITED (Transferor Company No. 1/Petitioner No.1), LIFEWOOD VINTRADE PRIVATE LIMITED (Transferor Company No. 2/Petitioner No.2), RV BUILDWELL PRIVATE LIMITED (Transferor Company No. 3/Petitioner No.3), SHUBHI PROPERTY CONSULTANCY PRIVATE LIMITED (Transferor Company No. 4/Petitioner No.4), TOPFLOW COMMOTRADE PRIVATE LIMITED (Transferor Company No. 5/Petitioner No.5) and APRICITY INFRATECH PRIVATE LIMITED (Transferee Company/Petitioner No.6) under Section

230-232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and the National Company Law Tribunal Rules, 2016, for the purpose of the Sanction of the proposed Scheme of Amalgamation of the Transferor Companies with APRICITY INFRATECH PRIVATE LIMITED (Transferee Company/Petitioner No. 6). The copy of the Scheme of Amalgamation (hereinafter referred as the "Scheme"), has been placed on record.

2. The Transferor Company No. 1/Petitioner No. 1 i.e., M/s Aaradhya Builders Private Limited is a private limited company incorporated on 23.01.2012 under the provisions of the Companies Act, 1956 vide CIN: U70109DL2012PTC355793, having its registered office situated at Plot No. A-29, GF, Kh. No. 48/19, P&T Block, Rajdhani Park, Nangloi, New Delhi-110041. Thus, the registered office of the Transferor Company No.1 is under the jurisdiction of this Tribunal. The authorized share capital of the Transferor Company No. 1 is Rs. 18,70,000/- divided into 18,70,000 equity shares of Rs. 1/- each. The issued, subscribed and paid-up share capital of the Transferor Company No. 1 is Rs. 18,64,550/- divided into 18,64,550 equity shares of Rs. 1/- each.

3. The Transferor Company No. 2/Petitioner No. 2 i.e M/s Lifewood Vintrade Private Limited is a private limited company incorporated on 20.01.2012 under the provisions of the Companies Act, 1956 vide CIN: U51909DL2012PTC356148, having its registered office situated at Plot No. A-29, GF, Kh. No. 48/19, P&T Block, Rajdhani Park, Nangloi, New Delhi-110041. Thus, the registered office of the Transferor Company is under the jurisdiction of this Tribunal. The authorized share capital of the Transferor Company No. 2 is Rs. 2,00,000/- divided into 2,00,000 equity shares of Rs. 1/- each. The issued, subscribed and paid-up share capital of the Transferor Company No. 2 is Rs. 1,12,500/- divided into 1,12,500 equity shares of Rs. 1/- each.

4. The Transferor Company No. 3/Petitioner No. 3 i.e., M/s RV Buildwell Private Limited is a private limited company incorporated on 23.07.2004 under the provisions of the Companies Act, 1956 vide CIN: U45801DL2004PTC127838, having its registered office situated at 2nd Floor, 72, Sainik Vihar, Pitampura, Delhi-110034. Thus, the registered office of the Transferor Company is under the jurisdiction of this Tribunal. The authorized share capital of the Transferor Company No. 3 is Rs. 5,00,000/- divided into 50,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Transferor Company No. 3 is Rs. 4,00,000/- divided into 40,000 equity shares of Rs. 10/- each.

5. The Transferor Company No. 4/Petitioner No. 4 i.e., M/s Shubhi Property Consultancy Private Limited is a private limited company incorporated on 01.10.1991 under the provisions of the Companies Act, 1956 vide CIN: U74899DL1991PTC045871, having its registered office situated at 115-E, Kamla Nagar, Delhi-110007. Thus, the registered office of the Transferor Company is under the jurisdiction of this Tribunal. The authorized share capital of the Transferor Company No. 4 is Rs. 50,00,000/- divided into 5,00,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Transferor Company No. 4 is Rs. 28,30,900/- divided into 2,83,090 equity shares of Rs. 10/- each.

6. The Transferor Company No. 5/Petitioner No. 5 i.e., M/s Topflow Commotrade Private Limited is a private limited company incorporated on 20.01.2012 under the provisions of the Companies Act, 1956 vide CIN: U51909DL2012PTC355809, having its registered office situated at Plot No. A-29, GF, Kh. No. 48/19, P&T Block, Rajdhani Park, Nangloi, New Delhi-110041. Thus, the registered office of the Transferor Company No.1 is under the jurisdiction of this Tribunal. The authorized share capital of the Transferor Company No. 5 is Rs. 2,00,000/- divided

into 2,00,000 equity shares of Rs. 1/- each. The issued, subscribed and paid-up share capital of the Transferor Company No. 5 is Rs. 1,12,500/- divided into 1,12,500 equity shares of Rs. 1/- each.

7. The Transferee Company/ Petitioner Company No. 6 i.e., M/s Apricity Infratech Private Limited is a private limited company incorporated on 20.08.2015 under the provisions of the Companies Act, 2013 vide CIN: U70102DL2015PTC284314, having its registered office at Plot No. A-29, GF, Kh. No. 48/19, P&T Block, Rajdhani Park, Nangloi, New Delhi-110041. Thus, the registered office of the Transferee Company is under the jurisdiction of this Tribunal. The authorised share capital of the Transferee Company/ Petitioner Company No. 6 is Rs. 1,00,000/- divided into 10,000/- equity shares of Rs. 10/- each. The present paid-up capital of the Transferee Company is Rs. 1,00,000 divided into 10,000 equity shares of Rs. 10/- each.

8. The brief business of the Transferor Companies and the Transferee Company is stated hereunder:

   i) **Transferor Company No. 1** is engaged in the business of acquiring by purchase, lease, exchange, hire or otherwise develop or operate land, buildings, etc.

   ii) **Transferor Company No. 2** is engaged in the business of exporters, importers, buyers, sellers, traders, merchants, indentors, brokers, commission agents, etc. in various products.

   iii) **Transferor Company No. 3** is engaged in the business of contractors, builders, town planners, estate developers, etc.

iv) **Transferor Company No. 4** is engaged in the business of providing services, advisory and consultancy in real estate sector.

v) **Transferor Company No. 5** is engaged in the business of exporters, importers, buyers, sellers, traders, merchants, indentors, brokers, commission agents, etc. in various products.

vi) **Transferee Company** is engaged in the business of purchase, acquire, exchange any area, land, building, structure and to develop, dispose of or maintain the same.

9. The Petitioner Companies have submitted that the proposed scheme of amalgamation of the Transferor Companies and Transferee Company would have the following benefits: -

(i) Merger shall result in consolidation of respective operations served by one platform thereby leveraging the capabilities of the merged entity.

(ii) Create revenue and cost synergies by bundling the product offerings and leveraging distribution networks.

(iii) The combination of business result in stronger consolidated revenue and profitability, with diversification in product portfolio thereby reducing business risks for mutual benefit of the shareholders of the companies.

(iv) Ensuring a streamlined group structure by reducing the number of legal entities in the group structure in India, and thereby eliminating administrative duplications and consequently reducing the administrative costs of maintaining separate companies, and

(v) Pooling of assets, proprietary information, personnel, financial, managerial and technical resources of the Companies, thereby contributing to the future growth of the merged entity.

10. The appointed date as fixed for the proposed scheme of Amalgamation is 01.04.2020 or such other date as may be directed by this Tribunal. This Tribunal prescribes 01.04.2022 as the Appointed Date for the proposed scheme of amalgamation.

11. From the records, it is seen that the First Motion joint application was filed before this Tribunal vide CA(CAA)77/ND/2020 and Vide order dated 21.01.2022 of this Tribunal, the meetings of the Equity Shareholders, Secured Creditors and Unsecured Creditors of all the Transferor Companies No. 1 to 5 and the Transferee Company were dispensed with. Therefore, no chairperson was appointed by the Tribunal and therefore, no report of chairperson has been submitted by the Transferor/Transferee Company.

12. The Tribunal had directed the petitioner companies to issue individual notices to the (i) Regional Director, Northern Region of Ministry of Corporate Affairs, (ii) Income Tax Department, (iii) Registrar of Companies NCT of Delhi and Haryana, and (iv) Official Liquidator.

13. The Petitioner Companies were also directed by the Tribunal to carry out publication in the newspapers. It is seen from the records that the Petitioners have filed an Affidavit affirming compliance of the same and disclosing that the applicants have effected publication in "Indian Express" (English, Delhi edition) as well as "Jansatta" (Hindi, Delhi edition), both dated on 30.03.2022. In addition to the public notice, notices were served on the Regional Director (Northern Region), Official Liquidator, the Income Tax Department, Registrar of Companies, NCT of Delhi and Haryana, the Reserve Bank of India and to the other relevant sectoral regulators.

14. Pursuant to the notice issued to the Regional Director and Official Liquidator, they have filed their response/reply in the matter.

15. It is seen from the Regional Director (RD's) report dated 08.07.2022, the RD had raised certain observations with regard to the proposed scheme of Amalgamation among the Petitioner Companies vide his Letter dated 04.07.2022 and in response to the same, the Petitioner Companies had filed reply dated 05.07.2022 wherein the Petitioner Companies gave clarification and undertaking to address the observations made by the Regional Director. The details of the same are summarised below:

Observation	Observation of the Regional Director vide Letter dated 04.07.2022	Reply of the Petitioner Companies vide Letter dated 05.07.2022
1.	(i) "As per Audited Financial Statements of the Transferor Company-1 for the year ending 31.03.2021, it is seen that the Short-Term Loans & Advances of Rs. 7,32,36,250 have been reported which includes other Advances of Rs. 9,50,000 which are exactly same as previous year. Hence, the nature of such advances is not short term in nature. Additionally, an amount of Rs. 7,22,00,000 has been shown as refundable security deposit. The nature of this transaction is not clear."	(i) "The amount of other advances of INR 9,50,000 was given to Heaven Trading Private Limited on short term basis. The company was expecting its refund from the party in the near short term, but due to COVID 19 pandemic and other financial constraints, the party couldn't refund back in due time. Therefore, in the opinion of the company and expectation of recovery of the advance in near future and moratorium period allowed by the Reserve Bank of India, the company decided to treat the advance as short term. Further, an amount of INR 7,22,00,000 has been shown

			as Refundable Security Deposit, which was given to other companies being landowners in state of Delhi. The refundable deposit was given in terms of mutual understanding wherein landowners agreed to hold their land for us on "as is whereas basis" and we accumulate the land from various landowners to the extent of 20 Hectares for its proposed land pooling and development under the proposed Land Pooling Policy of the Delhi Development Authority."
	(ii)	"In the Financial Year 2019-20, Transferor Company-1 has shown fixed assets worth Rs. 3,90,21,942, but not charged deprecation on such fixed assets. In the next Financial Year 2020-21, Transferor Company-1 has not shown any fixed assets and the amount of non-current investment has risen from Rs. 6,99,56,500 to Rs. 9,28,49,220."	(ii) "The Transferor Company No. 1 had not charged any depreciation on the fixed assets (being immovable property) in FY 2019-20 as the same were held for the purpose of re-sale and not for use of the company's own business. Depreciation is to be charged only on the assets that are to be used for the business of the company. Further, in the Financial Year 2020-21, the transferor company decided to disclose the immovable properties as mentioned above as "Investment Property' under

			the head investment as the same were held only for the purpose of resale. In fact, the company actually sold some of its properties during the FY 2020-21 and in the next financial year."
	(iii) "	(iii)	"There are two methods of amalgamation, one is Pooling of Intertest Method i.e. in the nature of merger and second is Purchase Method i.e. in the nature of purchase. The facts and rationale of the Scheme of Amalgamation, Share Exchange Value determined in Share Valuation Certificate by Registered Valuer for merger of Transferor Companies without winding up into Transferee Company, as filed with the Hon'ble NCLT Delhi and also submitted with your kind office clearly mention that this merger is under the pooling of interest method of amalgamation i.e. in the nature of merger. The cross shareholding between Transferor Company No. 2 & Transferor Company No. 5 will be cancelled out as also mentioned in the Scheme of Amalgamation. Hence, there is no point of purchase consideration for Transferor

Sr. No.	Name of the companies	Shareholding
1.	Transferor Company 2	50% in Transferee Company 50% in Transferor Company - 5
2.	Transferor Company 5	50% in Transferee Company 50% in Transferor Company - 2

"From the above table, it appears that the above two companies will be acquired without any consideration. On account of peculiar cross holding of 50% amongst each other, it may also be added that the Transferee Company has received Rs. 3,80,000 each from Transferor Company-2 & Transferor Company-5 as advances as shown in the financial statements by Transferee Company for the Financial Year 2020-21. The compliance of Section 185 of the Companies Act, 2013 on part of the Transferor Companies remains unclear."

			Companies. Further, the advances of loan does not incurred and hence also not required to be mentioned in the Scheme of Amalgamation filed with Hon'ble NCLT in year 2020 and therefore, no transaction was falling in the purview of Section 185 of the Companies Act, 2013 for the year."
	(iv)	"As per the clause 3, it has been provided that the scheme shall be effective from the effective date. However, as per the provision of Section 232(6) the scheme shall clearly indicate an appointed date from which it shall be effective, and the scheme shall be deemed to be effective from such date and not a date subsequent to the appointment date. The same needs to be modified in the scheme."	(iv) "The provisions of Section 232(6) of the Companies Act, 2013 has been duly complied as mentioned in Clause 3.2 of the Scheme of Amalgamation. The excerpts of clause 3.2 of the Scheme of Amalgamation is mentioned herein below for your kind reference: *"3.2 Though this Scheme shall become effective from Effective Date, the provisions of this scheme, so far as they relate to the transfer & vesting of undertaking(s) of the Transferor Companies into the Transferee Company, and for all accounting purposes, shall be applicable and come into operation from the appointed date i.e. 1st Day of April 2020."*

			Further, in clause 1© of the Scheme of Amalgamation, the definition of Appointed Date also being specified. Hence, the modification of the Scheme of Amalgamation is not required."
	(v)	"As it stated in the clause 27.9 pf the scheme, Transferee Company does not have any free/general reserve as on appointed date, hence it is proposed to make adjustment mentioned in clause 27.6 and 27.7 with the securities premium account instead of general reserve. This would lead to reduction of securities premium account of the Transferee Company. However, the reduction of the securities premium in the proposed scheme is not in accordance with the Section 52 of the Companies Act, 2013, which exclusively lays down the manner of utilization of the securities premium."	(v) "The clause 27.9 of the Scheme of Amalgamation itself specified that this would lead to reduction in the Securities Premium Account of the Transferee Company post amalgamation, so a confirmation is required under Section 66 read with Section 52 of the Companies Act, 2013 from the Hon'ble NCLT, Delhi. Hence, proposed scheme is in accordance with the Section 52 of the Companies Act, 2013."
	(vi)	"As per Audited Financial Statements for the year ending 31.03.2021 of all the Transferor Companies (1 to 5) and Transferee Company, revenue from operation is Nil since last two years. Hence, all the Transferor Companies (1 to 5) and Transferee Company are dormant companies under Section 455 of the Companies Act, 2013."	(vi) "According to provisions of Section 455 of the Companies Act, 2013, a company or an inactive company may make an application to the Registrar for obtaining the status of a dormant company. The provisions clearly indicated that the provisions of Section 455 are recommendatory in nature and not mandatory to apply for status of dormant

			company. Hence, this point of observation that all the Transferor Companies and Transferee Company are dormant companies, also does not stand and misinterpretation of law."
	(vii)	"On perusal of the Financial Statements for the year ending 31.03.2021 of the Transferor Companies 3 & 4, it is seen that the companies have taken a loan of Rs. 22,00,000 & Rs. 23,00,0000 from its director namely Vinod Goyal and Kartik Goyal respectively. However, no DPT-3 Form is filed with RoC."	(vii) "The details of loan taken by Transferor Company No. 3 & 4 as per financial statements for the year ending 31st March 2021, was duly mentioned and filed with the Ministry of Corporate Affairs in e-form DPT-3 on regular basis as and when required. The copies of One-Time form DPT-3 and form DPT-3 for FY 2020-21 of Transferor Company No. 3 & 4 are being enclosed herewith."
	(viii)	"As pr the Audited Financial Statements of all the Transferor Companies (1 to 5) for the year ending 31.03.2021, it is seen that the Reserve & Surplus include Securities Premium Account, it appears that the Companies had made Private Placement. However, there is no E-form PAS-3 has been filed with the RoC as required under Section 42 of the Companies Act, 2013. Hence, the Company may be asked for clarification why not compliance the provision of the Section 42 of the Companies Act, 2013."	(viii) "The amount of Securities Premium Account as mentioned in Reserve and Surplus of all the Transferor Companies belong to the period before Financial Year 2013 and hence, there is no private placement or allotment of shares were made in any of the company and so no e-form PAS-3 was required to be filed with the Registrar of Companies. Accordingly, the compliance of provision of Section 42 of

		the Companies Act, 2013 was not required on any Transferor Company."
	(ix) "The Transferee Company may kindly be directed to comply with the provisions of Section 232(3)(i) of the Companies Act, 2013 in regard to fee payable of its revised Authorized Share Capital."	(ix) "The Transferee Company will increase the authorised share capital by payment of requisite fee after consolidation of authorised share capital of all the Transferor Companies with the Transferee Company upon confirmation of Scheme of Amalgamation by Hon'ble NCLT. The provisions of Section 232(3)(i) of the Companies Act, 2013 is applicable once the Transferor Company is dissolved on approval by the Hon'ble NCLT. Hence, the provisions of Section 232(3((i) of the Companies Act, 2013 is not applicable now."

16. We have heard Ld. Counsel for the Petitioner Companies as well as the Ld. Counsel for RD, though initially, the Regional Director (RD) in its report dated 08.07.2022 had made certain observations with regard to the proposed scheme of amalgamation among the petitioner companies. However, after consideration of the reply of the Petitioner Companies, filed in response to the observation made by the Regional Director, the observations made by the Regional Director stand clarified as stated by the Counsel for the Regional Director, as observed in order dated 14.11.2022.

17. The Official Liquidator has filed its report dated 09.06.2022, wherein no specific objection has been raised against the approval of the Scheme. It has been submitted by the Official Liquidator in the report that the affairs of the transferor companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest.

18. The Income Tax Department has submitted its report dated 10.08.2022 wherein, it is submitted that the Income Tax Department has no objection to the sanction of the Amalgamation Scheme with respect to Lifewood Vintrade Pvt. Ltd. (Transferor Company 2), RV Buildwell Pvt. Ltd. (Transferor Company 3), Topflow Commotrade Pvt. Ltd. (Transferor Company 5) and Apricity Infratech Pvt. Ltd. (Transferee Company). However, the Income Tax Department prayed for grant of leave to file the Reports for Aaradhya Builders Pvt. Ltd. ("Transferor Company 1") and Shubhi Property Consultancy Pvt. Ltd. ("Transferor Company 4"), at a later stage. This Tribunal, vide order dated 06.12.2022, accepted the prayer and granted time to the Income Tax Department to file the reply. However, the same has not been filed. Hence, as per the provisions of Section 230(5) of the Companies Act, 2013, on the expiry of 30 days from the date of notice, it may be presumed that the Income Tax Department does not have any comments on the proposed Scheme of Amalgamation with respect to Transferor Companies No. 1 & 4.

19. In compliance of the order dated 06.12.2022, passed by this Tribunal, the petitioner companies had filed the affidavit-cum-undertaking dated 21.12.2022, stating that in case, any claim of tax dues by the Income Tax Department in respect to the Transferor Company No. 1 & 4 is raised, after the approval of the Scheme of Amalgamation of transferor Companies into the Transferee Company, the Transferee company will be responsible to pay the income tax dues, if any, and has also filed last 3 years' tax returns of the Transferor Companies No. 1 & 4.

20. In this petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.

21. Certificates of Statutory auditor of the petitioner companies, has been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies Accounts Rules, 2014 and Companies (Accounting Standards) Amendment Rules, 2016, and other generally accepted accounting principles in accordance with the Companies Act, 2013, as applicable.

22. The shareholders of the petitioner companies are the best judges of their interest, being fully conversant with the market trends. Therefore, this Tribunal is not supposed to go into the commercial decisions taken by the companies. It has also been affirmed in the petition that the Scheme is in the interest of all the Petitioner Companies including their shareholders, creditors, employees and all concerned.

23. In view of the foregoing, upon considering the reply of the Petitioner Companies, the undertaking of the Petitioner Companies with respect to the observations and clarifications and upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

24. Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013 with the following directions: -

    (i) The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

(ii) Notwithstanding the above, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

(iii) While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

25. This Tribunal further directs with respect to all the Transferor companies and the Transferee company, that:

(i) The Petitioner Companies had fixed 01.04.2020 as the Appointed Date in respect of the proposed scheme of Amalgamation between Transferor Companies and Transferee Company. However, this Tribunal prescribes 01.04.2022 as the Appointed date for the said scheme of Amalgamation.

(ii) Upon the sanction becoming effective from the appointed date i.e., 01.04.2022 as prescribed by this Tribunal, the Transferor Companies shall stand dissolved without undergoing the process of winding up.

(iii) All contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead

of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iv) All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) All liabilities of the Transferor Companies, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(vi) All proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(vii) Any person interested or effected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

26. Further, the Petitioner Companies shall within thirty days of the date of the receipt of this order, cause a certified copy of this order to be delivered

to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor companies shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

27. In compliance with the requirement of Section 232 (7) of the Act, the transferee company shall until the full implementation of the Scheme of Amalgamation shall file a statement every year in the Form CAA 8 along with the required fees with the Registrar of Companies as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

28. The petition stands disposed of in the above terms.

Sd/-
(DR. BINOD KUMAR SINHA)
MEMBER (TECHNICAL)

Sd/-
(P.S.N. PRASAD)
MEMBER (JUDICIAL)